PRIVATE DEBT INVESTMENT CHARACTERISTICS

Learning Outcome

- explain features of private debt and its investment characteristics

Private debt primarily refers to the various forms of debt provided by investors directly to private entities. In the past decade, the expansion of the private debt market has been largely driven by private lending funds filling the gap between borrowing demand and reduced lending supply from traditional lenders in the face of tightened regulations following the 2008 financial crisis.

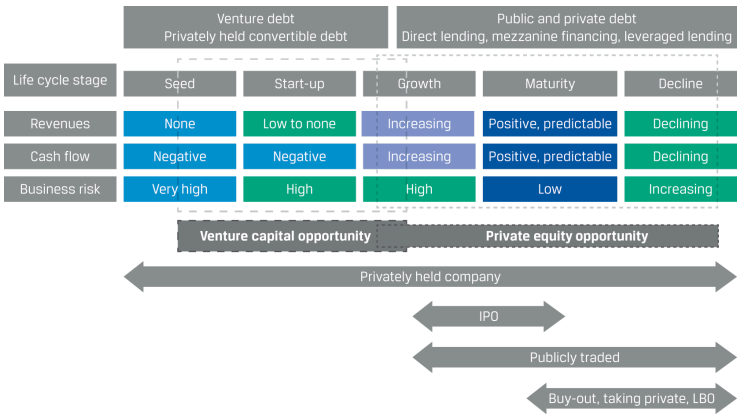
We can organize the primary methods of private debt investing into four categories: direct lending, mezzanine loans, venture debt, and distressed debt. The broad array of debt strategies offers not only diversification benefits but also exposure to other investment spheres, such as real estate and infrastructure.

Private Debt Categories

Analogous to private equity investment, an investor wanting to include private debt in a portfolio has various alternatives along a comparable direct versus indirect distinction. In direct private debt investment, the investor makes a loan directly to a specific operating company. In the indirect approach, the investor takes an intermediated path, purchasing an interest in a fund that pools contributions typically on behalf of multiple participants to buy into the debt from a set of operating companies. For both approaches, in exchange for the debt, the investors receive interest payments and the return of principal after a designated term. The debt is typically secured and has various protections/covenants in place. Exhibit 4 depicts the role of private debt in the corporate life cycle.

Exhibit 4:

Private Debt and Corporate Life Cycle



▶ Expand / collapse Extended Description

Venture debt is private debt funding that provides venture capital backing to start-up or early-stage companies that may be generating little or negative cash flow. Entrepreneurs may seek venture debt, often in the form of a line of credit or term loan, to obtain additional financing without further diluting shareholder ownership. Venture debt can complement existing equity financing, allowing current shareholders to maintain ownership and control for a longer period. Similar to mezzanine debt, venture debt may carry additional features that compensate the investor/lender for the increased risk of default or for the start-up and

circumstances.

Private debt investors get involved in **direct lending** by providing capital directly to borrowers and subsequently receiving interest, the original principal, and possibly other payments in exchange for their investment. As with typical bank loans, payments are usually received on a fixed schedule. The debt itself typically is senior and secured and has covenants in place to protect the lender/investor. It is provided by a small number of investors to private and sometimes public entities and differs from traditional debt instruments, such as bonds, which can be issued to many participants and be publicly traded.

Direct lending primarily involves private debt firms (or private equity firms with private debt arms) establishing funds with money raised from investors desiring higher-yielding debt. Fund managers will then seek financing opportunities, such as providing a loan to a mid-market corporation or extending debt to another private equity fund that is seeking funds for acquisitions. In general, private debt funds provide debt, at higher interest rates, to entities needing capital but lacking good alternatives to traditional bank lenders, which themselves may be uninterested or unable to transact with these borrowers. As in private equity, private debt fund managers conduct thorough due diligence before investing.

In direct lending, many firms may also provide debt in the form of a **leveraged loan**, a loan that is itself levered. Private debt firms that invest in leveraged loans first borrow money to finance the debt and then extend it to another borrower. By using leverage, a private debt firm can enhance the return on its loan portfolio.

EXAMPLE 4

Peterburgh Real Estate Fund, LLC—Syndicated Leveraged Mortgages

The Peterburgh Real Estate Fund, LLC, has acquired a portfolio consisting of six commercial properties for a total of GBP100 million. From its investors, the fund secured GBP30 million in equity financing, and it turned to BridgeRock Credit Opportunities LLP, a private debt fund that underwrites commercial mortgages before syndicating them.

In this specific transaction, properties valued at GBP100 million serve as collateral for a total of GBP75 million mortgages, giving an aggregate loan to value (LTV) of 0.75, which provides GBP25 million excess collateral to BridgeRock. The terms of the mortgage are MRR + 150 bps, with a maturity of 15 years, GBP5 million in annual amortization, and all mortgages being secured by the first lien on the property. The lender, BridgeRock, then sells or syndicates the mortgages to other banks or institutional investors. The LTV plays a significant role in both legs of this transaction. For Peterburgh to be able to borrow and for BridgeRock to be able syndicate the loans, the aggregate LTV ratio cannot be breached, and any deviation from the LTV on an individual property level needs to be cured. As Peterburgh amortizes the loan, the outstanding principal of the mortgages decline, which decreases the LTV value. However, if the value of the real estate were to drop, then Peterburgh will be required to raise additional collateral to maintain the LTV.

In private debt, **mezzanine debt** refers to private credit subordinated to senior secured debt but senior to equity in the borrower's capital structure. Mezzanine debt is a pool of additional capital available to borrowers beyond senior secured debt, often used to finance LBOs, recapitalizations, corporate acquisitions, and similar transactions. Because of its typically junior ranking and its usually unsecured status, mezzanine debt is riskier than senior secured debt. To compensate investors for this heightened risk, investors commonly demand higher interest rates and may require options for equity participation. Mezzanine debt often comes with additional features, such as warrants or conversion

certain circumstances.

Involvement in **distressed debt** typically entails buying the debt of mature companies in financial difficulty. These companies may be in bankruptcy, have defaulted on debt, or seem likely to default on debt. Some investors identify companies with a temporary cash flow problem but a good business plan to help the company survive and ultimately flourish. These investors buy the company's debt expecting both the company and its debt to increase in value. Turnaround investors buy debt with an aim to be more active in distressed company management and direction, seeking to restructure and revive the company. Overall, investors concentrating on distressed debt need to develop specialized knowledge related to assessing the likelihood of default and the possible recovery rates because distressed debt is priced to the expected recovery rate, but occasionally recovery rates mistake the underlying risk of the exposures and have long time horizons. Bankruptcy procedures can be lengthy, complex, and capital intensive. Similarly, distressed debt investors need to understand how to restructure companies and restructure debt. Several distressed debt funds focus on debtor-in-possession (DIP) financing, which provides operating funds for firms already in bankruptcy.

Hertz and DIP Financing

Hertz entered Chapter 11 reorganization in May 2020 after filing for bankruptcy due to COVID-19's near total shutdown of the global travel industry. In October 2020, it negotiated USD1.65 billion in operating funds secured through debtor-in-possession financing. That committed Hertz to pay creditors up to a market reference rate of (MRR) + 725 bps, permitting drawdowns from the facility in individual tranches of at least USD250 million. Up to USD1 billion was allowed for vehicle acquisition, and as much as USD800 million was allowed to fund working capital and general corporate needs.

The DIP financing was projected to provide Hertz with liquidity to support its continued operations throughout 2021, when the loan matured. Private capital firms Apollo Global Management, Diameter Capital Partners, and Silver Point Capital provided this funding. DIP financing is often a signal that lenders are confident in the company's ability to reorganize and pay the debt back in time.

Another type of debt that could be directly extended to borrowers is **unitranche debt**. Unitranche debt consists of a hybrid or blended loan structure combining different tranches of secured and unsecured debt into a single loan with a single, blended interest rate. Since unitranche debt is a blend of secured and unsecured debt, its interest rate will generally fall in between the interest rates often demanded on secured and unsecured debt. The unitranche loan will usually be structured between senior and subordinated debt in priority ranking.

Private debt firms may also provide *specialty loans*, extended to niche borrowers in specific situations. For example, in litigation finance, a specialist funding company provides debt to clients, usually plaintiffs in litigation, for their legal fees and expenses in exchange for a share of judgements.

Risk–Return of Private Debt

Private debt investments may provide higher-yielding opportunities to fixed-income investors seeking increased returns relative to traditional bonds. Private debt funds may generate higher returns by taking opportunistic positions based on market inefficiencies. Private lending funds filled the financing gap left by traditional lenders following the 2008 financial crisis. Investors in private debt could realize higher returns from the illiquidity premium, which is the excess return investors require to compensate for lack of liquidity. Investors also benefited from increased portfolio diversification by owning these securities.

coupon varies in line with changes to the reference rate brought about by changes to the interest rate environment.

Differences between public and private debt include the distinct entry and exit points with lenders, which offer borrowers greater flexibility in arranging financing. Specialized knowledge for private debt financing is needed in order to add value for the investor. First, the financing and return on debt depends on the specific period of a company's phase of life cycle. Earlier debt financing typically carries higher risks and provides higher returns. Second, the structure of the debt is also of importance; for instance, CLOs (collateralized loan obligations) with the market reference rate, or MRR, as the base rate require specialized knowledge. Finally, the investor needs to have special knowledge about underlying assets, particularly for secured lending, such as real estate.

The potential for higher returns is connected to higher levels of risk. Private debt investments vary in risk and return, with senior private debt providing a steadier yield and moderate risk and mezzanine private debt carrying higher growth potential, equity upside, and higher risk than senior private debt. Overall, investing in private debt is riskier than investing in traditional bonds. Investors should be aware of these risks, including illiquidity and heightened default risk when loans are extended to riskier entities or borrowers in riskier situations. Modeling private equity or debt returns is not straightforward, due to a lack of good-quality data and artificially smooth returns.

Question Set

1. Identify two categories of private debt that would typically be relied on in the growth stage or a later stage of the corporate life cycle.

   Hide Solution

   Solution:

   As shown in Exhibit 4, three private debt categories are featured in the later stages of the corporate life cycle:

   1. Direct lending
   2. Mezzanine financing
   3. Leveraged lending

2. **Determine the correct answers to fill in the blanks:** Similar to mezzanine debt, _____ may carry additional features that compensate the investor/lender for _____ or for the start-up and early-stage companies that _____.

   Hide Solution

   Solution:

   Similar to mezzanine debt, *venture debt* may carry additional features that compensate the investor/lender for *the increased risk of default* or for the start-up and early-stage companies that *lack substantial assets for debt collateral.*

3. Describe the borrowing cost of unitranche debt.

   Hide Solution

   Solution:

   Unitranche debt consists of a hybrid or blended loan structure combining different tranches of secured and unsecured debt into a single loan with a single, blended interest rate. Since unitranche debt is a blend of secured and

4. Identify the following statement as true or false: Modeling private debt returns is fairly straightforward because they are a function of a benchmark public debt return.

Hide Solution

Solution:

False. While private debt and public debt share a reference point in being marked up from a benchmark return, modeling private equity or debt returns is not straightforward, due to a lack of good-quality data, more security-specific risk between assets, and artificially smooth returns.

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